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JUDGMENT SHEET

LAHORE HIGH COURT

MULTAN BENCH MULTAN

JUDICIAL DEPARTMENT

RFA No.292/2016

Nabeel Ahmad **Versus** Abdul Ghafoor

J U D G M E N T

Date of Hearing:	19.02.2026
Appellant by:	Mr. Shakeel Javed Chaudhry, Advocate.
Respondent by:	Mahr Imtiaz Younas Tullah, Advocate.
<i>Amici Curiae:</i>	Mr. Muhammad Masood Bilal, Advocate. Mr. Muhammad Sulaman Bhatti, Advocate. Mr. Muhammad Ashraf Qureshi, Advocate.

Anwaar Hussain, J. This Regular First Appeal is directed against the judgment and decree dated 13.07.2016, passed by the Additional District Judge, Chichawatni, Sahiwal in a suit, instituted by the respondent against the appellant, under Order XXXVII, Code of Civil Procedure, 1908 (“**CPC**”), for recovery of Rs.850,000/-, on the basis of cheque.

2. Learned counsel for the appellant, Mr. Shakeel Javed Chaudhry, Advocate, contends that the impugned judgment is defective, as the trial was conducted in a manner contrary to the law. It is submitted that the issues were framed on the same date when the judgment was announced, after the evidence had been recorded, leaving the appellant unaware of the issues and the corresponding burden of proof.

3. Conversely, learned counsel for the respondent, Mahr Imtiaz Younas Tullah, Advocate, has supported the impugned judgment and contends that no prejudice was caused to the appellant, as evidence was led by the respondent and it was the appellant's fault that he failed to cross examine PWs and produce his own witnesses and his right was closed and the said orders of the Trial Court were not challenged. Further contends that this Court has power to examine the evidence available on record and decide the matter in terms of Order XLI, Rule 24, CPC.

4. Mr. Muhammad Masood Bilal, Advocate/*amicus curiae*, submits that the procedure for conducting a trial is clearly laid down under the law. It is contended that the powers of the Appellate Court under Order XLI, CPC cannot be read in isolation from the mandate of Order XIV Rule 5, CPC, which governs framing of issues at the trial stage clearly depicting onus of proof. Mr. Muhammad Sulaman Bhatti, Advocate/*amicus curiae*, while endorsing the submissions of Mr. Muhammad Masood Bilal, Advocate contends that the Appellate Court has the power to examine whether any injustice has occurred but after assessing the adequacy of the evidence on record. On Court's call, Mr. Muhammad Ashraf Qureshi, Advocate, also entered appearance as *amicus curiae* and submits that where the law prescribes a specific procedural mechanism for trial, such procedure must be followed, and failure to do so renders the trial nullity in the eye of law.

5. Arguments heard. Record perused.

6. The core point of determination, in this appeal, before this Court is articulated as under:

Whether in trial of a suit under Order XXXVII, CPC where leave is granted and evidence of the plaintiff is on record but issues are framed on date when the judgment was

announced vitiates the trial and the Appellate Court should remand the matter or the same should be decided by the Appellate Court keeping in view the evidence on record?

7. Before addressing the question formulated hereinabove, it will be appropriate to examine the factual matrix of the case and proceedings that took place before the Trial Court. In his leave to defend, the appellant specifically contended that the impugned cheque was delivered as a guarantee and no payment is due against the appellant. The Trial Court found this plea a triable defence and allowed leave to defend subject to submission of surety, which order was complied with by the appellant whereafter issues should have been framed, list of witnesses should have been submitted and then after recording of evidence, judgment should have been announced, however, the respondent led evidence without framing of issues and submissions of list of the witnesses. He produced representative of the bank as PW1 and himself appeared as PW3. He also produced PW2 namely, Khadim Hussain statedly witness of delivery of the cheque. It is imperative to note that the appellant cross-examined only one witness (PW-1) and thereafter his right was closed to cross examine remaining witnesses as well as to lead evidence in defence, through orders dated 27.06.2016 and 13.07.2016 respectively. These orders of the Trial Court were not challenged by the appellant and on 13.07.2016 when judgment was passed, the issues were simultaneously framed by the Trial Court and the suit was decreed on the ground that there is nothing in rebuttal to the claim of the respondent.

8. Having above factual position in sight, it is imperative to note that once unconditional or conditional leave to defend is granted, the summary nature of the suit under Order XXXVII, CPC ceases. The suit then proceeds under the standard procedure prescribed for the trial of the ordinary suits in respect of which the procedural sequence is strictly defined by the CPC: the Court must frame issues before

recording evidence. Framing issues occurs on the basis of the pleadings, to condense the controversy into issues of law or fact, where parties are at variance. Recording evidence is the subsequent stage of the trial conducted to resolve those specific and pre-defined issues while clarifying as to which of the party has the onus to prove those issues, hence, providing a meaningful opportunity for a fair trial under Article 10A of the Constitution of Islamic Republic of Pakistan, 1973. The procedural safeguards prescribed under Orders XIV and XV, CPC, are intended to crystallize the points in controversy, define the burden of proof, and ensure fair adjudication; the failure to observe these safeguards renders the trial irregular and procedurally flawed. Under Order XIV Rule 1, CPC it is the duty of the Trial Court to frame issues. Skipping this step deprives a litigant of notice regarding what he must contest, rendering subsequently recorded evidence questionable, if not a nullity, inasmuch as without issues having been properly framed, the Court cannot legally determine which party bears the burden of proof.

9. Learned counsel for the respondent has argued that this Court in exercise of its power under Rule 24 of Order XLI, CPC can decide the matter itself. There is no cavil to the said preposition and this Court is also cognizant of the fact that the remand of cases is discouraged by the Supreme Court of Pakistan, however, it has to been seen whether Order XLI, Rule 24, CPC is applicable in present case. Order XLI, Rule 24, CPC reads as under:

24. Where evidence on record sufficient, Appellate Court may determine case finally.—

Where the evidence upon the record is sufficient to enable the Appellate Court to pronounce judgment, the Appellate Court may, after resettling the issues, if necessary, finally determine the suit, notwithstanding that the judgment of the court from whose decree the appeal is preferred has proceeded wholly upon some ground other than that on which the Appellate Court proceeds.

The above quoted Rule 24 clearly contemplates that the power of the Appellate Court to decide the matter is to be exercised where the evidence on record is sufficient. Hence, whether this Court should proceed under above quoted Rule 24 or not depends upon the sufficiency of evidence on record.

10. At this juncture, it is imperative to observe that under Section 118 of the Negotiable Instruments Act, 1881, certain statutory presumptions are attached to the negotiable instruments, including cheques. The law presumes, *inter alia*, that the instrument was made for consideration and that it was issued in discharge of a legally enforceable liability. At the summary stage under Order XXXVII, CPC, these presumptions operate in favour of the plaintiff. However, once leave to defend is granted, it signifies that the defendant has raised a *bona fide* and triable issue, thereby converting the proceedings into an ordinary civil suit. Although the statutory presumptions do not altogether vanish, their evidentiary strength stands diluted. Where the defendant specifically disputes consideration—by alleging, for instance, that the cheque was issued as security or without any underlying transaction—the burden shifts back to the plaintiff to prove the original transaction and the passing of valid consideration. In such a situation, the plaintiff cannot rely merely upon the presumption but must establish through affirmative evidence that the cheque was issued against a legally enforceable debt or liability. Case reported as Syed Muhammad Zahir and others v. Mrs. Shahnaz Akhtar and others (2024 CLD 900) is referred in this regard.

11. In present case, perusal of the record reveals that the examination-in-chief of the respondent's witnesses (PWs) was vague and deficient *qua* the presence of consideration perhaps for the reasons that the respondent was also not aware of the exact issues. While certain lapses are attributable to the appellant in terms of failure to cross-examine PWs and leading evidence in defence, the core obligation of the Trial Court to frame issues cannot be ignored. Needless to state that the order of closing right to cross examine PWs

merged into the final judgment dated 13.07.2016 and this Court can always see the legality of the interlocutory orders. The failure to discharge the obligation to frame issues deprived the trial of procedural clarity and prevented proper adjudication of the triable issue(s) regarding the nature of relationship between the parties and presence of consideration of the cheque. At this juncture, I intend to stop short of making any further observation lest it may prejudice the case of either side.

12. In view of the above discussion, this Court is of the opinion that in a trial of suit under Order XXXVII, CPC where leave is granted and only evidence of the plaintiff is on record, and issues are framed on the date when the judgment was announced, said procedural irregularity vitiates the trial, and the Appellate Court should remand the matter where it reaches the conclusion that the evidence is insufficient to finally determine the case. In present case, this Court found the evidence to be inadequate.

13. For the foregoing reasons, this appeal is **allowed** and impugned judgment and decree is set aside and the matter is remanded to the Trial Court to decide the same afresh, after framing proper issues. As it is an old matter pending since 2016, it is expected that the Trial Court will conclude the same within a period of two months from the date of receipt of certified copy of this judgment.

14. Before parting with this judgment, I wish to acknowledge the valuable assistance rendered by the learned *Amici Curiae*, with thanks.

(ANWAAR HUSSAIN)
Judge

Approved for reporting.

Judge